Mechanic Lien Waiver & Notice of Intended Sale Forms

Two forms have recently been uploaded to FormsRus, ZipForms and Dotloop in cooperation with the Missouri Land Title Association's Zone 5 Task Force. The goal is to help resolve common closing problems by creating universally acceptable forms. Please note that the use of these forms does not guarantee that any transaction will be insured. Every company retains the right to require additional information or deny coverage.

The first form is the Mechanic Lien Waiver form. Remember the phrase**- "If work's been completed then a Lien Waiver is needed!"** This form should be provided to the following:

- To the Seller at the time of Listing for completion by any contractors, subcontractors or suppliers that have recently performed work on the subject property
- To any vendors (and their subcontractors and suppliers) that are hired to complete necessary repairs on the subject property (for example during inspection negotiations)
- To your preferred vendors (and their subcontractors and suppliers) that commonly handle repairs for your clients

If the subject property is newly constructed or rehabbed, then the underwriter will typically require the second form that has been uploaded, the Notice of Intended Sale (NOIS). This document is executed by the owner of the property and recorded in the County where the property is located to provide notice that the owner is renovating the property for sale to a bona fide purchaser. The form also reflects the closing date of the property.

The NOIS form is a great way to minimize the amount of paperwork that is needed by the title company; however, often the form is deficient which creates a larger closing issue. The basic rules for properly executing the NOIS form include:

- It must be executed by the Owner of Record, include the legal description and reflect a closing date that is NO LESS than 45 days after the date of **recording.** (Helpful hint: The date of recording does not count as a day, your first day begins the day AFTER you record)
- The closing date that is inserted must reflect an actual date when the work will be completed. You must be realistic in your date choice. (For example, if you record a NOIS that states closing will occur on July 1st but the work for the project is not completed until October 1st- that will be considered defective).
- The NOIS must be recorded in the County the property is located and a copy also must be posted at the site. This allows subcontractors and suppliers performing work on the site to record a Notice of Rights if they are owed money.

It is important to remember that while these forms have been uploaded into the system for use, you should not be completing them for your client. While the title company will be reviewing these documents- they should also not be completing these forms. This form is intended to be filled out by General contractors, sub-contractors or suppliers. The Missouri Land Title Association's Zone 5 Task Force will continue to work on addressing issues to create a better closing process. For more information regarding this new form please contact Tracey D. Yost, Contracts and Forms Liaison at tyost@stlrealtors.com .